Ron's Retirement Finance Model V1

Plain-English User Guide

This guide explains what the model is doing, which screens matter most, and how to use Roth conversion and IRMAA overrides without needing to be a tax expert.

Important: this model is a planning tool. It estimates future balances, taxes, Medicare costs, and income. It is not tax, legal, investment, or Medicare advice. Review major decisions with a qualified professional.

Term	Plain-English Meaning
IRA	A retirement account where withdrawals are usually taxable.
Roth IRA	A retirement account where qualified withdrawals are usually tax-free.
Roth conversion	Moving money from IRA to Roth. You pay tax now so the money can grow tax-free later.
MAGI	Income number used by Medicare for IRMAA. For this model, think “Medicare income.”
IRMAA	Extra Medicare premium charged when income is above certain thresholds.
Headroom	A cushion. Example: stop $5,000 below a limit instead of exactly at it.

1. Data Storage and Backups

This is the most important housekeeping rule in the model: keep your own backup file. The app may save data automatically, but automatic browser storage is not the same as a permanent backup.

By default, the model saves your information in the browser you are using. That is convenient, but it can disappear. Browser data may be cleared by a system cleanup tool, browser settings, privacy settings, an update, a different device, or opening a different copy of the app file. If that happens, the app may open later with no data even though everything looked saved last time.

What to do:

- Use the Export tab to download a JSON backup file after meaningful changes.
- Keep that JSON backup somewhere safe, such as iCloud Drive, Dropbox, Google Drive, OneDrive, an external drive, or another folder you routinely back up.
- Make a new backup after major changes: new balances, new overrides, tax table updates, Social Security changes, or GitHub setup changes.
- If the app ever opens with missing data, use Import JSON Backup from the Export tab to restore your saved file.

GitHub sync is helpful, but it does not remove the need for backups. GitHub gives you another place where the model can save and load data, especially across devices. Still export JSON backups regularly. The backup file includes the model data and GitHub setup information, so it is the safest way to move or recover a complete setup.

Simple habit: after every serious planning session, click Export Backup. Treat the JSON file like the master copy of your work.

2. What the Model Does

The model projects your retirement year by year. It estimates money coming in, money going out, taxes, Medicare premiums, account balances, Roth conversions, and net worth.

Each year follows the same basic order:

- Start with the account balances and assumptions for that year.
- Add income that arrives automatically, such as wages, Social Security, RMDs, dividends, and interest.
- Pay spending and taxes using the draw order built into the model.
- Apply optional Roth conversion strategies from the Override Tables.
- Grow the remaining balances into the next year.

The model is most useful when you compare scenarios: different Roth conversion plans, different Social Security ages, different spending levels, or different tax assumptions.

Main Tabs

Tab	What it is for
Dashboard	Quick view of net worth, action plan, and big-picture results.
Inputs	Long-term assumptions: people, dates, rates, Social Security, Medicare, and starting settings.

Start of Year	Enter real yearly values as life happens. Green means you entered it; blue means the model filled it in.
Override Tables	Temporary changes for certain years, including Roth conversion strategies.
Cash Flow	Detailed year-by-year money movement.
Tax Summary	Federal tax, state tax, Medicare/IRMAA, and marginal tax rates.
Tax Tables	The IRS/Medicare tables used by the model. Update yearly when new tables are published.

3. First Setup

Begin with the Inputs tab. The goal is not perfection. The goal is to give the model enough information to create a useful first projection.

- Enter names, birth years, filing status, state, and plan years.
- Enter growth, dividend, interest, spending inflation, Social Security COLA, and wage growth assumptions.
- Enter Social Security start age and monthly benefit for each person.
- Enter Medicare/IRMAA settings if you want the model to plan around Medicare income tiers.
- Enter 401(k) contribution and employer match assumptions if still working.

Then go to Start of Year and enter your actual starting balances. These are the balances the projection grows from: cash, securities/brokerage, IRA, Roth, HSA, and inherited IRA if any.

> Tip: update Start of Year once per year with real values. That keeps the long-term projection anchored to reality instead of drifting farther from your actual life.

4. How Money Is Drawn

The model first uses income that arrives whether you need it or not. Examples include wages, Social Security, RMDs, dividends, interest, HSA withdrawals, and inherited IRA draws.

If that income is not enough to cover spending and taxes, the model draws more money from accounts in this order:

- Cash, down to your cash floor.
- Securities/brokerage account.
- Traditional IRA or 401(k), which is taxable when withdrawn.
- Roth IRA, used last because it is usually the most tax-friendly account.

You can change the order of securities and IRA for selected years using the Funding Order override. That can be useful when you intentionally want to draw down IRA earlier.

5. Roth Conversions in Plain English

A Roth conversion moves money from a traditional IRA into a Roth IRA. The conversion increases taxable income in the year it happens. The benefit is that the money may grow tax-free afterward and may reduce future required IRA withdrawals.

A conversion is not automatically good or bad. It depends on tax brackets, Medicare IRMAA, future RMDs, survivor taxes, and how long the money may stay invested.

The model lets you create conversion rules for specific years in the Override Tables tab. You can use three main approaches:

Strategy	Plain-English Use
IRMAA Level Target	Convert up to a Medicare income tier, while optionally avoiding a high tax bracket.
Tax Bracket Fill	Convert enough to fill the tax bracket your income is already in.
Income Level Override	Convert up to a specific dollar income target you choose.

Priority rule: if more than one conversion strategy applies to the same year, Income Level wins first, then IRMAA / Max Bracket, then Tax Bracket Fill.

Conversions add taxable income now. The model shows the result in Cash Flow and Tax Summary so you can see both the conversion amount and the tax/Medicare effect.

6. IRMAA and Max Bracket Override

IRMAA is an extra Medicare premium charged when Medicare income is above certain thresholds. In the model, the IRMAA Level Target is a way to say: “Convert IRA money to Roth, but try not to cross this Medicare income line.”

The new Max Bracket option adds a second guardrail. It lets you say: “I am willing to go up to this IRMAA level, but do not push me into a higher federal tax bracket than I choose.”

Control	What It Means
IRMAA Level	The Medicare income tier you are willing to target. Level 0 means IRMAA targeting is off.
Fill Mode	F fills upward with conversions. R can use Roth withdrawals to avoid exceeding a target.
Max Bracket	Optional tax bracket ceiling. If selected, conversions stop at that bracket target when it is lower than the IRMAA target.
Bracket HR ($)	Extra cushion below the Max Bracket target. Example: $5,000 stops $5,000 below the bracket target.

How the model chooses the target:

- If IRMAA Level is 1-5 and Max Bracket is blank, the model targets the selected IRMAA threshold.
- If IRMAA Level is 1-5 and Max Bracket is selected, the model uses whichever target is lower: the IRMAA threshold or the bracket target.

- If IRMAA Level is 0 and Max Bracket is selected, the row becomes a bracket-only conversion target.
- If IRMAA Level is 0 and Max Bracket is blank, the row is off.

The Max Bracket dropdown only shows bracket choices that can actually affect the selected IRMAA level. The “No cap” choice shows the uncapped IRMAA target and the tax bracket it lands in, so you can compare before choosing.

7. Simple Examples

These examples are simplified, but they show how to think about the controls.

Goal	Override Row
Convert up to an IRMAA tier and do not care which tax bracket it reaches.	Choose IRMAA Level 4 or 5, leave Max Bracket as No cap.
Target a high IRMAA level but avoid a painful tax bracket.	Choose IRMAA Level 5, then choose a Max Bracket such as 24% or 32%.
Do not target IRMAA; just fill a tax bracket.	Choose IRMAA Level 0 and select a Max Bracket. Add Bracket HR if you want cushion.
Stay slightly below a bracket line.	Select Max Bracket and enter Bracket HR, such as 5,000.
Use an exact income number instead of IRMAA/bracket logic.	Use Income Level Override. It has priority over IRMAA and Tax Bracket Fill.

Example: suppose IRMAA Level 5 would allow income up to a high Medicare threshold, but that would also push you into a 35% marginal tax bracket. You can choose Level 5 plus Max Bracket 24% or 32%. The model will convert only up to the lower bracket target instead of filling all the way to the IRMAA limit.

Example: if you choose IRMAA Level 0 and Max Bracket 24%, the model is not using IRMAA at all. It is simply trying to convert up to the 24% bracket target, less Bracket HR.

8. Reading the Results

After entering overrides, review these areas:

- Dashboard: check the 3-year action plan and overall net worth path.
- Cash Flow: look for the Roth conversion amount, IRA draws, Roth withdrawals, spending, and taxes.
- Tax Summary: check AGI, taxable income, marginal rate, Medicare Part B, and IRMAA surcharge.
- Year Detail: use this when a year looks strange and you want to see what drove it.

> A larger Roth conversion can look bad in one year because tax rises, but still help long-term if it reduces later RMDs or survivor taxes. Always compare scenarios, not just one year.

9. Overrides and Year Ranges

Overrides let you change behavior for selected years without changing your global assumptions. Each row has a start year and end year. If rows overlap, the later row wins in the overlapping years.

Common overrides include:

- Spending: change spending for a year or range of years.
- Deductions: test itemized deductions, charity, or tax changes.
- IRMAA Level Target: manage Roth conversions around Medicare and tax brackets.
- Income Level Target: use a specific dollar income ceiling.
- Tax Bracket Fill: fill the current federal tax bracket.
- Growth, wage growth, cash floor, HSA deposits, state tax, and funding order.

If two conversion strategies overlap, read the warning messages in the Override Tables section. They are there to tell you which rule is actually being used.

10. Updating Tax Tables

The Tax Tables tab stores federal brackets, standard deductions, state tax values, Medicare IRMAA thresholds, and Medicare premium amounts. The model can inflate values into future years, but actual IRS and Medicare numbers change over time.

- Each year, add the newest tax year when official numbers are available.
- Use IRS sources for federal brackets and CMS/Medicare sources for IRMAA and Part B premiums.
- Keep old years because they are useful for historical calculations and comparisons.

If you are not sure whether a table is current, treat the results as a planning estimate and avoid making precise tax decisions from it.

11. Good Habits

- Export a JSON backup after major changes, and keep it somewhere outside the browser.
- Use notes in override rows so Future You knows why a change was made.
- Compare one change at a time when testing strategies.
- Watch the marginal tax rate and IRMAA surcharge together. A year can look fine for income tax but expensive after Medicare costs.
- Review survivor years carefully. Filing status and brackets can change after one spouse dies.

Best practical workflow: make a baseline, export it, add one strategy, compare, then keep or undo it. Small careful tests beat one giant mystery scenario.